

Team ID #: _____

Time: _____

Rank: _____



SMALL BUSINESS MANAGEMENT TEAM (510)

STATE 2022 FINAL

Presentation Points	_____ (140 points)
Specification Points	_____ (20 points)
TOTAL POINTS	_____ (160 points)

MODIFICATION FOR STATE FINAL COMPETITION:

Jeremy found an ad for a slightly used food truck for a great price. This new truck has features like a bigger oven and more counter space that Jeremy feels will help speed up the cooking process. Jeremy can pay for half of the truck now but will need to finance the second half. Based on the loan he can get, it will take five (5) years to pay off the truck with his current income. Should Jeremy buy the truck? If so, should he sell his current truck or just incorporate the new truck into his operations? Explain your rationale.

INITIAL CASE STUDY TOPIC:

Jeremy Johnson owns a food truck called JJ's and has hired you to help him look at his business and generate ideas to help him improve his profits. Jeremy has sold different types of food throughout the year including burgers, fried rice bowls, barbecue, turkey legs and burritos. Lately, he has found a good customer base selling slices of pizza. Sometimes Jeremy decides to switch up the entire offering to a previous menu to try to keep customers coming so they don't get tired of his current offerings.

JJ's typically sits in the same location year-round. Jeremy has struck a deal with a local retail store to sell in their parking lot for a fairly cheap fee. From time to time, Jeremy will get requests to cater a specific event. His most profitable hours have been at a catered event, but finds that sometimes he will take the truck to the event and not sell enough to make it worth his time. This has strengthened his resolve to stay in his typical location because he has a good idea how many customers order from his truck regularly and the local events that bring more foot traffic.

Overall, JJ's is profitable and customers are satisfied with the food they get. Jeremy has tried to change his operation to accommodate customers who bring things to his attention. One complaint he has received is that when he changes his menu, customers are expecting what he has been serving and are disappointed to find it is no longer on the menu. Another complaint is that the food is not as good when he is not there as the chef; however, Jeremy cannot always be there.

Jeremy would like to make his business more profitable so he can begin planning for his retirement. One thing Jeremy has noticed is that many times, he ends up throwing out some of his ingredients because he doesn't sell enough of certain menu items. For example, with pizza, he has chicken in stock for some of his recipes. If the pizzas with chicken on them are not ordered enough, then he has to throw it out. He buys all of his ingredients in bulk at a warehouse grocery store so they are cheaper per unit and make more per pizza.

Jeremy has great hopes for his business including expansion and growth. How can Jeremy improve his business? What suggestions do you have for JJ's and its future? Consider the following questions as you form your response.

1. Should JJ's continue to accept opportunities to cater events? If so, under what circumstances?
2. How can Jeremy ensure quality control for his food?
3. JJ's has a good following of customers. Would the business be better off with a permanent building rather than a mobile truck?
4. What can Jeremy do to improve communications with customers before they arrive to order food?
5. What can be done with internal processes to help minimize loss and maximize profit?

Teams who do not submit an entry that follows this topic will be *disqualified*.